



ANNUAL CONTINUING DISCLOSURE REPORT

FISCAL YEAR 2025: July 1, 2024 – June 30, 2025

CURRENT ISSUANCES

Series	Par	Issue Date
Series 2015B Water and Wastewater Revenue Bonds	\$74,430,000	6/18/2015
Series 2016A Water and Wastewater Revenue Refunding Bonds	\$209,230,000	4/5/2016
Series 2016B Water and Wastewater Revenue Bonds	\$124,925,000	9/14/2016
Series 2017D Water and Wastewater Revenue Bonds	\$102,500,000	5/18/2017
Series 2018A Refunding Water and Wastewater Revenue Bonds	\$94,455,000	9/26/2018
Series 2020A Refunding Water and Wastewater Revenue Bonds	\$122,145,000	5/27/2020
Series 2021A Refunding Water and Wastewater Revenue Bonds	\$50,590,000	6/10/2021
Series 2024A Refunding Water and Wastewater Revenue Bonds	\$48,370,000	3/27/2024

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This Annual Continuing Disclosure Report is being furnished by Eastern Municipal Water District (EMWD) to provide updated financial and operational information of EMWD pursuant to the respective Continuing Disclosure Agreements of the Revenue Bonds Official Statements.

Summary of Debt Service: The following table summarizes projected debt service with respect to EMWD's Outstanding Parity Obligations and Subordinate Obligations including State Loans relating to projects under construction or projects approved by the State Water Resources Control Board.

<i>Period Ending June 30</i>	<i>Parity Obligations</i>			<i>Subordinate Obligations</i>				<i>Total Debt Service</i>
	<i>Bonds Principal</i>	<i>Bonds Interest</i>	<i>Total Parity Obligation Debt Service</i>	<i>Bonds Principal</i>	<i>Bonds Interest</i>	<i>Subordinate Obligation Debt Service</i>	<i>State Loans Debt Service</i>	
2026	-	-	-	18,170,000	32,796,012	50,966,012	9,422,125	60,388,137
2027	-	-	-	18,950,000	31,997,787	50,947,787	9,422,125	60,369,912
2028	-	-	-	19,815,000	31,116,867	50,931,867	9,422,125	60,353,992
2029	-	-	-	21,790,000	30,180,064	51,970,064	8,369,665	60,339,729
2030	-	-	-	23,830,000	29,154,800	52,984,800	7,317,205	60,302,005
2031	-	-	-	24,980,000	28,013,600	52,993,600	7,317,205	60,310,805
2032	-	-	-	25,920,000	26,784,455	52,704,455	7,317,205	60,021,660
2033	-	-	-	27,285,000	25,448,120	52,733,120	7,317,205	60,050,325
2034	-	-	-	30,690,000	24,001,850	54,691,850	2,901,107	57,592,957
2035	-	-	-	34,620,000	22,472,650	57,092,650	2,901,107	59,993,757
2036	-	-	-	36,225,000	20,916,105	57,141,105	2,901,107	60,042,212
2037	-	-	-	30,195,000	19,357,320	49,552,320	2,901,107	52,453,427
2038	-	-	-	32,280,000	17,865,000	50,145,000	2,901,107	53,046,107
2039	-	-	-	34,075,000	16,413,687	50,488,687	2,901,107	53,389,794
2040	-	-	-	37,105,000	14,834,475	51,939,475	2,901,107	54,840,582
2041	-	-	-	38,785,000	13,202,404	51,987,404	2,901,107	54,888,511
2042	-	-	-	40,515,000	11,545,072	52,060,072	2,901,107	54,961,178
2043	-	-	-	42,265,000	9,853,036	52,118,036	2,901,107	55,019,143
2044	-	-	-	38,340,000	8,194,867	46,534,867	2,901,107	49,435,974
2045	-	-	-	40,035,000	6,566,485	46,601,485	2,901,107	49,502,592
2046	-	-	-	41,800,000	4,866,668	46,666,668	2,901,107	49,567,775
2047	-	-	-	43,655,000	3,087,744	46,742,744	2,901,107	49,643,851
2048	-	-	-	45,595,000	1,139,875	46,734,875	2,612,471	49,347,346
2049	-	-	-	-	-	-	2,612,471	2,612,471
2050	-	-	-	-	-	-	2,612,471	2,612,471
TOTAL	\$ -	\$ -	\$ -	\$ 746,920,000	\$ 429,808,946	\$ 1,176,728,946	\$ 114,357,768	\$ 1,291,086,714

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EMWD Water Facilities

EMWD's distribution system for potable water includes 91 water booster or pumping plants, 208.6 million gallons of surface storage capacity, and over 2,712 miles of pipeline ranging from 4 to 60 inches in diameter.

Wells: Locally, EMWD maintains 18 active domestic production wells. The wells are listed by location, current status, and Fiscal Year 2025 production in the following table.

Domestic District Wells

Location			Status	Fiscal Year 2025 Production ⁽¹⁾	Current Pumping Capacity ⁽²⁾	
				(Acre Feet)	Gallons/Minute	Acre Feet/Day
San Jacinto Basin - Cienega Area of Canyon Sub-Basin						
No. 17	Cienega Well	Active	568	1,550	6.8	
No. 26	Cienega Well	Active	996	2,000	8.8	
No. 34	Cienega Well	Active	666	1,500	6.6	
San Jacinto Basin - Intake Area of Upper Pressure Sub-Basin						
No. 25	Fruitvale Well	Active	0	925	4.1	
No. 33	Mountain Avenue Well	Active	782	750	3.3	
No. 36	New Washington St.	Active	694	1,075	4.8	
No. 38	Mountain/Meridian Channel	Active	2,510	1,750	7.7	
San Jacinto Basin - Upper Pressure Sub-Basin						
No. 29	Quandt Well	Active	1,851	1,350	6.0	
No. 90	Evans/Old Mtn. Well	Active	1,063	1,300	5.7	
No. 91	Ramona/Esplanade Well	Active	1,294	1,700	7.5	
No. 92	Ramona/Hemet Well	Active	610	1,400	6.2	
San Jacinto Basin - Hemet South Sub-Basin						
No. 35	Palm & Menlo Well	Active	198	625	2.8	
San Jacinto Basin - Perris North Sub-Basin						
No. 55	Perris II Well	Active	875	850	3.8	
No. 56	Perry Well	Inactive	0	0	0	
No. 57	Follico Well	Inactive	0	0	0	
No. 59	Indian Well	Active	1,407	1,100	4.9	
No. 210	Avalon (North)	Active	53	145	0.6	
No. 211	Avalon (South)	Active	66	175	0.8	
No. 212	Ramona/Bradley	Active	73	200	0.9	
No. 213	Barbury Palms	Active	241	1,000	4.4	
Total Production ⁽³⁾			13,947	19,395	85.7	

⁽¹⁾ Annual variances due to rehab of existing wells, recycled water in-lieu programs and seasonality.

⁽²⁾ Tested capacity can vary with changes in water table.

⁽³⁾ Reflects actual Fiscal Year 2025 groundwater extractions. Excludes adjustments for in-lieu water purchased from MWD instead of being extracted from groundwater wells. Also excludes adjustments for groundwater extracted from EMWD wells but delivered to other agencies.

Source: Eastern Municipal Water District

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EMWD wells are considered deep-well production wells ranging in depth to 1,550 feet. Pumping levels for production range from 80 to 535 feet. The 18 active production wells have a combined production capability of 19,395 gallons per minute (GPM), which equates to approximately 85.7-acre feet per day. EMWD has conducted studies to determine the safe yield of the underground water basins serving these wells. The development and production of future wells will depend on the safe yield of the groundwater sub-basins.

**Water Production
(In Acre Feet)**

<i>Fiscal Year</i>	<i>Domestic Retail</i>	<i>Wholesale</i>	<i>Agriculture</i>	<i>Recycled Water</i>	<i>Total Production</i>
2021	86,955	4,362	2,555	52,368	146,240
2022	83,507	4,643	6,813	54,807	149,770
2023	76,389	3,863	5,664	55,574	141,490
2024	76,292	4,031	1,283	54,991	136,597
2025	88,206	2,512	1,683	54,566	146,967

**Domestic Water Use Within District's Service Area
(Annual Domestic Consumption)**

<i>Fiscal Year</i>	<i>Use⁽¹⁾ (Acre Feet)</i>	<i>Billed Accounts</i>	<i>Average Acre Feet Per Account⁽²⁾</i>
2021	78,459	159,257	0.49
2022	81,513	162,923	0.50
2023	73,421	166,167	0.44
2024	73,127	169,900	0.43
2025	81,575	177,515	0.46

⁽¹⁾ Amounts exclude wholesale accounts.

⁽²⁾ Several factors may impact fluctuations in the average AF per account each year including conservation efforts, the level of bank-owned homes relating to the economic downtown, and changes in weather patterns.

Source: Eastern Municipal Water District

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**Water Deliveries
(In Acre Feet)**

<i>Fiscal Year</i>	<i>Domestic Retail</i>	<i>Wholesale</i>	<i>Agriculture</i>	<i>Recycled Water⁽¹⁾</i>	<i>Total Sales</i>
2021	78,459	3,936	2,305	33,745	118,445
2022	81,513	4,532	6,650	39,216	131,911
2023	73,421	3,713	5,444	29,692	112,270
2024	69,460	3,667	1,169	27,040	101,336
2025	79,315	2,260	2,786	33,458	117,819

⁽¹⁾ Differences from the “Recycled Water” production figures reflect water loss as well as discharges of recycled water into local waterways during periods of heavy precipitation in accordance with EMWD’s discharge permits. EMWD has undertaken capital improvements to enhance its ability to store recycled water during periods of heavy precipitation and to sell it during periods of high demand.

Source: Eastern Municipal Water District

Largest Domestic Water Customers as of June 30, 2025⁽³⁾

	<i>Customer Name</i>	<i>Annual Water Sales (Acre Feet)</i>	<i>Annual Revenues</i>	<i>Percentage</i>
1	Western Municipal Water District ⁽¹⁾⁽²⁾	1,237	\$1,979,996	22.7%
2	LHMWD State Project Water	1,329	1,540,662	17.7%
3	City of Perris ⁽¹⁾⁽⁴⁾	814	1,359,064	15.6%
4	MWD of Southern California	483	812,148	9.3%
5	Moreno Valley Unified School District	356	714,903	8.2%
6	Val Verde Unified School District	285	602,912	6.9%
7	Moreno Valley Ranch	282	482,762	5.5%
8	Nuevo Mutual Water Company ⁽¹⁾	285	437,745	5.0%
9	City of Moreno Valley	212	423,706	4.9%
10	Murrieta Hot springs Resort	64	364,683	4.2%
	Total Production	5,347	\$8,718,581	100%
	Total water sales	84,360	\$203,030,152	
	Top 10 customers as a percentage of total	6.3%	4.4%	

⁽¹⁾ Wholesale customer.

⁽²⁾ Sales relate to Murrieta County Water District customers. This water district was purchased by the Western Municipal Water District.

⁽³⁾ Data includes potable water sales which includes domestic, irrigation, and agricultural customers.

⁽⁴⁾ EMWD acquired the water and wastewater operations of the City of Perris in October 2024.

Source: Eastern Municipal Water District

Regional Water Reclamation Facilities

<i>RWRF</i>	<i>Reliable Capacity (mgd)⁽¹⁾</i>	<i>Fiscal Year 2025 Daily Average Treated Flow (mgd)</i>	<i>Daily Average Flow as Percentage of Capacity</i>
Moreno Valley	15.0	11.4	76%
Perris Valley	22.0	14.7	67%
San Jacinto Valley	14.0	7.8	56%
Temecula Valley	<u>23.0</u>	<u>14.8</u>	<u>64%</u>
Total	74.0	48.7	66%

⁽¹⁾ Reliable capacity is the capacity that is determined by EMWD to be appropriate under normal operating conditions, based on the RWRF's operating systems and filtration processes, to comply with State of California regulatory and operational constraints.

Source: Eastern Municipal Water District

HISTORICAL FINANCIAL OPERATIONS

Operating Revenues

Collection Procedures: Water and Sewer rates are established by EMWD's Board of Directors and are not subject to regulation by the California Public Utilities Commission or by any other local, state, or federal agency. EMWD bills monthly utilizing a meter reading and billing system for both water and sewer service. Payments are due upon receipt and become delinquent 22 calendar days after the billing date. When a bill for service has become past due and a discontinuance of service notice for nonpayment has been issued, service may be discontinued if the bill is not paid within the time required by such notice.

General: Water and sewer charges were ruled by the California Supreme Court to be fees or charges for purposes of Proposition 218. As a result, new or increased water and sewer rates are subject to majority protest proceedings and cannot exceed the cost of providing service. Under the Master Resolution, EMWD is required to fix rates which are:

- (i) reasonably fair and nondiscriminatory.
- (ii) at least sufficient for the payment of all amounts to be payable from Net Water and Sewer Revenues in each fiscal year; and
- (iii) at least equal to:
 - (1) 115% of Debt Service on all Parity Obligations plus the amount required deposited to the Operating Reserve Fund; and
 - (2) 110% of Debt Service on all Parity Obligations and Subordinate Obligations plus the amount required to be deposited to the Operating Reserve Fund.

Under the installment sale agreement, to the fullest extent permitted by law, EMWD will fix and prescribe fiscal year rates and charges for Water and Sewer Service that are reasonably expected to yield fiscal year net revenues (less all payments due on parity obligations) equal to

115% of the Debt Service for each fiscal year. EMWD may make adjustments from time to time to its rates and charges, but will not reduce the current rates and charges unless the Net Revenues from such reduced rates and charges will, at all times, be sufficient to meet the debt service requirements of the installment agreement.

EMWD's wholesale and retail water rates and monthly sewer service charges are EMWD's most easily adjusted source of revenue and the Board has historically adjusted the rates as necessary to pay for operations and capital needs that are not met by other revenue sources.

Water Rates and Charges: EMWD implemented a water budget-based tiered rate structure in April 2009. This structure was intended to reward water use efficiency and discourage water waste. The structure was also intended to promote: (i) fairness; (ii) conservation; and (iii) revenue stability. On March 15, 2017, the Board of Directors approved the Cost of Service Rate Methodology which evaluated the cost of providing water service, including operations and maintenance to more closely align the allocation of water costs with residential and non-residential water rates. On April 19, 2023, the Board of Directors approved the 2023 Water and Wastewater Cost of Service Rates Study which redistributed the allocation of water costs amongst all customers, further aligning costs and water rates.

The current tiered rate structure is based on water budgets that apply to all single-family, multi-family, and certain Commercial, Industrial, and Institutional (CII or "Non-Residential") accounts utilizing the domestic water system. The residential tiers are calculated to encourage efficient indoor and outdoor use:

- (i) The indoor water budget is based on the gallons of water needed per person per day.
- (ii) The outdoor budget is based on a square footage of landscape, actual daily evapotranspiration, and a conservation factor.

(1) The default conservation is as follows:

Accounts Installed	Residential Conservation Factor	Non-residential Conservation Factor
Prior to December 31, 2010	0.8	0.5
January 1, 2011 to May 31, 2015	0.7	0.5
June 1, 2015 to present	0.5	0.5

(2) The conservation factor can be adjusted up to 1.0 for functional areas at the discretion of EMWD.

(3) The conservation factor can also be adjusted temporarily by EMWD to establish or maintain water efficient landscaping during a drought.

(iii) The indoor and outdoor water budget components are combined to calculate the total water budget.

(iv) Residential customers have a Tier 1 and Tier 2 rate applied to in-budget water use. Non-residential customers have only a Tier 1 rate applied to in-budget water use.

- (v) An Excessive rate (Tier 3 rate for residential, Tier 2 rate for non-residential) is applied to a percentage of water use beyond the total indoor and outdoor budget. This rate is significantly higher than the rates applied to in-budget use.
- (vi) A Wasteful Rate (Tier 4 rate for residential, Tier 3 rate for non-residential) is applied to wasteful water use that exceeds the preceding tier limit. This rate is much higher than the other tiers to discourage wasteful water use.

Water budgets no longer align with a specific rate, instead the amount of water billed at each tier is based on the availability of specific water supply sources, which include groundwater, treated groundwater, and more expensive imported supplies. All residential customers are billed at the Tier 1 – Low Volume rate for the first 20% of their total monthly water budget as that is the proportional amount of local, lowest-cost supplies available. The remaining portion of the total water budget will be billed at the Tier 2 – Budgeted rate for budgeted supplies. Tier 3 and 4 rates cover any usage in excess of the total budget.

Since 2009, the average water consumption per household has dropped as a result of the tiered rate structure. The tiers were developed taking into account the various sources of supply and the incremental cost of using each source to supply the needed demand. In addition to the above-described water commodity charges based upon usage, EMWD imposes a daily service charge to cover a portion of the water system's fixed operating costs. This was \$0.592 effective January 1, 2025. The Board has adopted a Daily Service Charge of \$0.639 effective January 1, 2026.

The Board adopted an additional service charge (the "Water Supply Reliability Capital Charge") on June 18, 2014. This charge was \$6.51 per month, per household, effective January 1, 2025. The Board has adopted a Water Supply Reliability Capital Charge of \$7.03 effective January 1, 2026. The Water Supply Reliability Capital Charge is intended to collect funds to pay for water reliability projects and facilities either: 1) on a pay-as-you-go basis; or 2) to repay debt obligations entered into which finance such projects. EMWD has not yet determined if it will enter into debt obligations to finance such projects. EMWD's current and adopted future water rates are as follows:

Current and Adopted Water Rates

Residential Tiered Rates⁽¹⁾

	<i>Rate as of 1/1/2025⁽²⁾</i>	<i>Rate as of 1/1/2026⁽²⁾</i>
Tier 1	\$1.41	\$1.55
Tier 2	\$4.17	\$4.51
Tier 3: Excessive Use	\$7.11	\$7.68
Tier 4: Wasteful Use	\$13.72	\$14.85

Non-Residential Tiered Rates⁽¹⁾

	<i>Rate as of 1/1/2025⁽²⁾</i>	<i>Rate as of 1/1/2026⁽²⁾</i>
Tier 1	\$4.16	\$4.51
Tier 2: Excessive Use	\$8.09	\$8.75
Tier 3: Wasteful Use	\$14.34	\$15.52

⁽¹⁾ Rates are charged per 100 cubic feet.

⁽²⁾ Reflected on bills effective January 1 for usage effective December 1.

Source: Eastern Municipal Water District

Sewer Rates and Charges: Sewer rates are based on daily service charges that vary by geographic location within EMWD's service area, and the flow entering the system, measured by Equivalent Dwelling Units (EDUs). Sewer rates set forth in the Water and Sewer Rates table below were approved by the Board on September 18, 2025 and are effective beginning January 1, 2026. The adopted sewer daily service charges will range from \$1.219 to \$2.274 per day, per EDU.

Residential customers are assigned to one of four sewer blocks, determined by the number of people per household. Households with one to two people fall into block 1, those with seven or more residents would be in block 4. Larger households have a higher block factor based on the assumption that they have higher sewer flows because they do more laundry and dishes, take more showers, etc. and, as a result, are charged a higher sewer rate. The sewer service billing is calculated using the block factor multiplied by the sewer rate and the number of EDUs.

Effective January 1, 2024 the Board adopted changes to the sewer blocks to reflect the current proportional demands on the wastewater system based on updated customer data. Blocks 1 and 4 proportions were reduced. This resulted in a cost-savings despite a minimal increase in the sewer rates. The block factors will remain the same for 2026. The block factors are as follows:

Sewer Rate Structure

Block Number	Block Factor effective 1/1/18	Block Factor effective 1/1/24	Number of People in Household
1	0.60	0.65	1 – 2 people
2	1.00	No change	3 – 4 people
3	1.25	1.35	5 – 6 people
4	1.70	No change	7 people or more

Source: Eastern Municipal Water District

In addition to the sewer rates described above (charged based upon usage), the Board adopted an additional service charge (the “Sewer Daily System Capital Projects Charge”) on June 18, 2014. EMWD imposes this daily service charge to cover a portion of the sewer system’s fixed operating costs. The Sewer Capital Charge is \$4.53 per month, per EDU, effective January 1, 2025, and \$4.75 per month, per EDU, effective January 1, 2026.

The Sewer Capital Charge is intended to collect funds to pay for sewer capital projects and facilities either: 1) on a pay-as-you-go basis; or 2) to repay debt obligations entered into to finance such projects. EMWD has not determined at this time whether or in what amount it would enter into debt obligations to finance such projects, nor has it considered whether any such debt would be payable from Net Water and Sewer Revenues.

Summary of Rates and Charges: Although rates and budgets vary throughout EMWD, the following water and sewer rates are representative of those in effect as of January 1, 2026. The Water budget is calculated at a total of 18 Billing Units for a typical residential household.

Water and Sewer Rates

Service Area	Water (Effective January 1, 2026)				Sewer (Effective January 1, 2026)	
	4 Units⁽¹⁾ Tier 1	14 Units⁽¹⁾ Tier 2	Daily Fixed Charges⁽²⁾	Average Monthly Charge⁽³⁾	Daily Fixed Charges⁽⁴⁾	Average Monthly Charge⁽⁵⁾
Perris Valley	\$1.55	\$4.51	\$0.873	\$95.54	\$1.570	\$47.10
Menifee	\$1.55	\$4.51	\$0.873	\$95.54	\$1.413	\$42.39
Fruitvale	\$1.55	\$4.26	\$0.873	\$92.04	\$1.375	\$41.25
Diamond Valley	\$1.55	\$4.51	\$0.873	\$95.54	\$1.375	\$41.25
Moreno Valley	\$1.55	\$4.51	\$0.873	\$95.54	\$1.391	\$41.73
Temecula Valley	\$1.55	\$4.51	\$0.873	\$95.54	\$1.459	\$43.77

⁽¹⁾ A unit is a measure of water equal to 100 cubic feet.

⁽²⁾ Water Fixed Charges include a \$0.639 daily charge and a \$0.234 daily charge for water supply and reliability capital projects.

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- (3) Example average monthly charge for rates effective January 1, 2026: a water billing for 1,800 cubic feet (18 units) of water for a 30-day period in the Perris Valley would be calculated as follows: (4 units X \$1.55 per Tier 1 unit) + (14 units X 4.51 per Tier 2 unit) + (30 days X \$0.873 per day) = \$95.54.
- (4) Sewer Fixed Charges include a daily service charge and a fixed capital charge. For Perris Valley, the daily service charge is \$1.414, and the fixed capital charge is \$0.156 for a total charge of \$1.57 per day.
- (5) Example average monthly charge for rates effective January 1, 2026: a sewer billing for 30 days of sewer service in the Perris Valley would be calculated as follows: 30 days X \$1.57 per day = \$47.10.

Source: Eastern Municipal Water District

The following table provides a summary of EMWD's gross revenues from water and sewer service and recycled water for the last five fiscal years.

Water Sales and Sewer Service Gross Revenues

<i>Fiscal Year</i>	<i>Water Sales</i>	<i>Sewer Service</i>	<i>Recycled Water</i>	<i>Total</i>
2021	163,113,885	112,533,433	9,949,373	285,596,691
2022	172,342,283	116,893,529	9,610,661	298,846,473
2023	161,049,316	121,956,150	9,087,994	292,093,460
2024	169,691,184	131,923,091	8,916,097	310,530,372
2025	203,030,152	144,357,544	11,331,097	358,718,793

Source: Eastern Municipal Water District

Non-Operating Revenues

Infrastructure Availability Charges: Under the Law, EMWD may levy and collect an annual Water Infrastructure Availability charge as well as an annual Sewer Infrastructure Availability charge on land within the boundaries of EMWD to which water and/or sewer services are made available by EMWD, regardless if the water and/or sewer service is actually used. Each charge may not exceed \$15 per acre per year for each acre (or parcel less than an acre) within EMWD's service area, except that it may be \$30 per acre per year for parcels assessed within combined water and sewer improvement districts. Infrastructure Availability charges are collected annually by the County of Riverside on the secured property tax roll and remitted by the County of Riverside to EMWD.

The Law requires that Infrastructure Availability charges be approved by ordinance, which is subject to referendum, after public notice and hearing on the proposed charge. The most recently approved Infrastructure Availability charges were approved on June 4, 2025, and became effective immediately.

EMWD currently levies these charges on the land within 16 of its water special improvement districts and 20 of its sewer special improvement districts. EMWD also levies a separate charge on land within the entire EMWD service area. The charges for the various special improvement districts for Zone 1 (i.e., areas where service is being made reasonably available either directly by EMWD or indirectly by a city, another water district, or a water company) vary from \$1.00 to

\$15.00 per acre annual water charge and a \$7.50 to \$15.00 per acre annual sewer charge.

EMWD may, under circumstances specified under the Law, utilize an alternative procedure for fixing water or sewer standby or availability charges which does not limit the amount of such charges. EMWD has not utilized such procedure to date. Standby charges are classified as assessments by the terms of Proposition 218.

Connection Fees: EMWD has statutory authority to fix and impose upon the customers of EMWD one-time water and sewer connection fees. Connection fees include water and sewer capacity charges and water and sewer back-up charges. Sewer fees are charged based on a per equivalent dwelling unit (“EDU”) basis and water fees are charged based on an equivalent meter size (“EMS”) basis. Current connection fee rates effective January 1, 2026, are \$7,738 and \$10,502 for water and sewer, respectively.

Although one-time connection fees constitute current Water and Sewer Revenues of EMWD, these amounts are retained by EMWD for application to its restricted construction fund in accordance with State of California law and utilized for expansion-related projects or used to pay debt service on expansion-related projects which have been financed.

Taxes: Moneys that are received from EMWD’s share of the Riverside County and San Diego County 1% tax levy constitute Water and Sewer Revenues and are available, but are not required to be used, to pay Maintenance and Operation Costs of the Water and Sewer System. Only those special improvement districts receiving tax revenue when Proposition 13 became effective in 1978 are entitled to receive a share of the 1% County General Purpose Property Tax Levy, based on the allocation procedure under California law. The tax rate levied to service outstanding general obligation bonds of the special improvement districts varies among the special improvement districts within EMWD’s service area. EMWD received \$65.4 million in property tax revenue from its share of the Riverside County and San Diego County 1% tax levy in Fiscal Year ending June 30, 2025.

EMWD is expressly empowered under the Law to levy taxes on all taxable property within its boundaries for the purpose of paying the bonded indebtedness of its special improvement districts and, subject to certain limitations in the Law, the California Revenue and Taxation Code and the California Constitution, for other EMWD purposes. Assessed valuation is determined by the Riverside County Assessor or the San Diego County Assessor. Total assessed valuation of taxable property within EMWD’s service area for Fiscal Year ending June 30, 2025, was approximately \$129 billion, an increase of approximately 9.5% from the previous year. EMD currently levies taxes only to service bonds of its special improvement districts. The proceeds of such taxes do not constitute Water and Sewer Revenues and are neither pledged to nor available to pay Installment Payments.

The Boards of Supervisors of Riverside County and San Diego County have each approved the implementation of the Alternative Method of Distribution of Tax Levies and Collections and of Tax Sale Proceeds (the “Teeter Plan”), as provided for in Section 4701 et seq. of the California

Revenue and Taxation Code. As a result of the implementation of the Teeter Plan by Riverside County and San Diego County, each county apportions secured property taxes and assessments on an accrual basis when due, irrespective of actual collections, to participating local political subdivisions for which the county acts as the levying or collecting agency. EMWD does not participate in the Teeter Plan. Accordingly, EMWD is subject to the risk of delinquencies in the amount of the 1% ad valorem property taxes received by EMWD within Riverside County and San Diego County. Historically, however, EMWD's receipt of penalties and interest from prior year delinquencies has more than offset current year's delinquencies.

HISTORICAL OPERATING RESULTS

The following table summarizes EMWD's operating revenues, operating expenses, and changes in net assets for the last five fiscal years. The Financial Statements of EMWD are available as table is derived from such Financial Statements, including the notes contained therein, and should be read in conjunction with the discussion following the table.

Eastern Municipal Water District
Annual Continuing Disclosure Report
July 1, 2024 – June 30, 2025

Historical Operating Results

	<i>Fiscal Year 2021</i>	<i>Fiscal Year 2022</i>	<i>Fiscal Year 2023</i>	<i>Fiscal Year 2024</i>	<i>Fiscal Year 2025</i>
OPERATING REVENUES:					
Water Sales	\$ 163,113,885	\$ 172,342,283	\$ 161,049,316	\$ 169,691,184	\$ 203,030,152
Sewer Service Charges	112,533,433	116,893,529	121,956,150	131,923,091	144,357,544
Recycled Water Sales	9,949,373	9,610,661	9,087,994	8,916,097	11,331,097
Total Operating Revenues	\$ 285,596,691	\$ 298,846,473	\$ 292,093,460	\$ 310,530,372	\$ 358,718,793
OPERATING EXPENSES:					
Water Purchases	\$ 74,297,141	\$ 78,171,078	\$ 63,764,342	\$ 71,322,891	\$ 83,246,541
Water Operations	50,512,860	58,469,496	64,868,489	71,576,199	77,059,392
Sewer Operations	59,218,244	63,925,000	71,690,570	77,125,106	83,668,050
OPEB Trust	1,149,955	-	-	-	-
General and administrative	44,680,486	26,081,407	47,082,764	55,024,559	53,982,983
Total Operating Expense	\$ 229,858,686	\$ 226,646,981	\$ 247,406,165	\$ 275,048,755	\$ 297,956,966
OPERATING INCOME (LOSS)	\$ 55,738,005	\$ 72,199,492	\$ 44,687,295	\$ 35,481,617	\$ 60,761,827
NON-OPERATING REVENUES:					
Property taxes - General Purpose	\$ 44,907,361	\$ 46,946,017	\$ 54,990,204	\$ 62,334,194	\$ 65,394,250
Standby charges	5,598,011	5,813,807	5,682,484	5,752,975	5,888,215
Wastewater connection fees	42,278,299	46,256,925	49,433,650	56,028,271	43,117,358
Water connection fees	21,540,131	24,396,066	25,792,399	32,376,656	29,606,604
Water supply development fee	3,438,056	3,298,099	1,436,392	(10,236)	222,001
Interest income	1,082,056	4,453,368	10,344,448	16,862,369	21,224,066
Grants/Other Income (Expenses)	10,554,161	13,608,696	5,208,589	12,605,907	61,141,499
Total Non-Operating Revenues	\$ 129,398,075	\$ 144,772,978	\$ 152,888,166	\$ 185,950,136	\$ 226,593,993
NET WATER AND SEWER REVENUES FOR DEBT COVERAGE	\$ 185,136,080	\$ 216,972,470	\$ 197,575,461	\$ 221,431,753	\$ 287,355,820
PARITY OBLIGATION DEBT SERVICE:					
Parity Obligation Payments	\$ 4,868,750	\$ -	\$ -	\$ -	\$ -
State Loan Debt Service Payments	-	-	-	-	-
Total Parity Obligation Debt Service	\$ 4,868,750	\$ -	\$ -	\$ -	\$ -
DEBT SERVICE COVERAGE	38.0x	N/A	N/A	N/A	N/A
REVENUES AVAILABLE FOR SUBORDINATE OBLIGATIONS	\$ 180,267,330	\$ 216,972,470	\$ 197,575,461	\$ 221,431,753	\$ 287,355,820
SUBORDINATE OBLIGATION DEBT SERVICE:					
Subordinate Obligation Payments	\$ 37,405,790	\$ 49,805,851	\$ 48,697,229	\$ 58,986,771	\$ 59,129,455
State Loan Debt Service Payments	8,864,575	9,422,124	9,422,124	-	-
Total Subordinate Obligation Debt Service	\$ 46,270,364	\$ 59,227,975	\$ 58,119,353	\$ 58,986,771	\$ 59,129,455
SUBORDINATE OBLIGATION DEBT SERVICE COVERAGE	3.9x	3.7x	3.4x	3.8x	4.9x
REMAINING REVENUES	\$ 133,996,966	\$ 157,744,495	\$ 139,456,108	\$ 162,444,982	\$ 228,226,365
TOTAL DEBT SERVICE	\$ 51,139,114	\$ 59,227,975	\$ 58,119,353	\$ 58,986,771	\$ 59,129,455
ALL IN DEBT SERVICE COVERAGE	3.6x	3.7x	3.4x	3.8x	4.9x

Summary of Modified Revenues and Expenses

The historical operating results of EMWD as presented in the Annual Comprehensive Financial Report reflect all sources of revenues and expenses from EMWD's audited financial statements, including general obligation-related revenues and expenses, depreciation, and other extraordinary book entries. In order to compare the future "Net Revenues and Expenses" of EMWD to historical, a modified Historical Operating Results has been prepared as set forth in the table above. The following commentary is based on the modified summary.

EMWD's Net Water and Sewer Revenues include all gross income and revenue received or receivable by EMWD from its ownership and operation of the Water and Sewer System, including income derived from water and recycled water sales, sewer service charges, standby charges, water and wastewater plant capacity charges, water and sewer back up charges, water and sewer fees, annexation charges and certain investment earnings. EMWD budgets each year those revenues which are driven by expected customer demands on the system as part of its "Operating Budget." These revenues include water and recycled water sales, sewer service charges, standby charges, certain investment earnings and miscellaneous revenues derived from fees for service. These revenues are primarily used to pay for the fiscal year's operating expenses, capital outlays and research, and support the CIP. The balance of the net water and sewer revenues, water and wastewater plant capacity charges, water and sewer back up charges, water and sewer fees and certain investment earnings are appropriated each year to the construction fund to finance a major portion of the CIP. With the exception of the investment earnings, these revenues are part of EMWD's connection fee that is paid by the developer at the time arrangements are made with EMWD for water and/or sewer service. These revenues are reported as "Non-Operating" revenues and will have the biggest fluctuations from year to year due to being driven by economic conditions.

Annual Comprehensive Financial Report

EMWD's [Annual Comprehensive Financial Report](#) (ACFR) for the Fiscal Year ended June 30, 2025, is complete as of the date of this Report and has been filed with the Municipal Securities Rulemaking Board's Electronic Municipal Market Access system.